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ECO 331

Economic History

INSTITUTIONS

Jonathan Conning
Spring 2026

Readings

- North, Douglas, 1990. "An Introduction to Institutions and Institutional Change", Chapter 1 in *Institutions, Institutional Change, and Economic Performance*. Cambridge.
- OG 7 "Splendour and Misery" 127-142.
- OG 8 "The Fingerprints of Institutions"

Readings

- KR "Is it all just Institutions?"

Fundamental ("Deeper") versus Proximate Causes

- Your neighbor's lawn is greener than yours. Why?

Institutions

Douglas North, Nobel

- Institutions are 'the rules of the game'
- "Humanly devised constraints that shape human interaction".
- Formal or Informal
- Reduce uncertainty by providing structure to our daily lives.
- Allow us to make commitments and trust others
  - incentives to invest, innovate, improve allocations, and trade.

A side note on the History of Ideas

Some Political Economy labels:

- Autocratic Rule
  - Divine right of Kings. Aristocracy
  - Hierarchies, privilege and vertical control.
- **Mercantilists**:
  - Economic nationalism: Accumulating wealth and power via monopolies on trade and colonies. Tends to see economy in zero-sum terms (your loss, my gain).
  - Government intervention: Taxes, tariffs, regulations, licenses, offices for sale. Rent extraction.
- Cultivation of virtue seen as the foundation of good government.
  - Good obedient religious citizens and virtuous leaders who internalize moral values.

Emerging challenges

- Experience of centuries of war (e.g. 30 years war 1618-1648) and dogma.
Kings vs parliaments.

- Rising challenges to absolutism, aristocracy
and arbitrary power.

- Protestant reformation, spread of literacy, printing press.

- Age of discovery, new settlements, ideas from trade and colonialism

- Scientific revolution.

- Commercialization, urbanization and rise of middle class.

Classical Liberals

- John Locke, David Hume, Adam Smith, Wilhelm von Humboldt, Thomas Jefferson, Jean-Batiste Say, Frederich Hayek, Ludwig von Mises …
  - Individualism. Natural rights (life, liberty, property)
  - Empiricism: skepticism, reason over dogma.
  - Self interest as motivator. Spontaneious order.
    Can lead to good societal outcomes.
  - Limited Government. Rule with legitimacy/consent of the governed.
    - Rule of Law
    - Free Markets. State role subsidiary, support markets.
- Mechanism design: Constitutions, Separation of powers, Rule of Law. To harness and direct self-interest.

Political Economy labels (continued):

- **Marx:** Rising bourgeoisie class throws out the old, dispossess the poor to make 'free' wage labor/proletariat.
- The Social Relations of Production (Institutions, property rights) established by rising class to their advantage.
- Capitalist revolution challenges feudal order but also dispossesses peasantry to jump start wage-labor and market imperative. Markets transform the world but with periodic crises and only the few get rich.
- Marx is labeled a Classical Political economist (builds on Ricardo and classical tools). But not a Liberal.
- Many Marxian interpretations and elaborations.

How economics emerged and pushed institutions to the background:

Twentieth century:

- **Neo-classical:** Like the classicals, but with marginalism and math and less institutional detail.
    - Firms as black boxes at arms length from consumers
    - everyone a price-taker on perfectly competitive market
    - secure property rights assumed to be costlessly enforced by third party.
    - Invisible hand results: free markets+competition --> efficiency.

        > An economic transaction is a solved political problem … Economics has gained the title Queen of the Social Sciences by choosing solved political problems as its domain (Abba Lerner, 1972).

Political Economy labels (continued):

- **Hamiltionian / Keynesian / Development Planning:** Markets are good, but market failures are very real. Government needed to create and repair markets, confer legitimacy and stability.
- **Neo-classical synthesis**: post-war fusion of Keynesian and Neo-classical ideas. Dominant academic and policy paradigm for 50 years.
  - Bretton Woods Institutions: UN, World Bank, IMF, WTO.
  - Sovereignty. Globalization.
- ***Neo-liberals*** (a political more than an academic label.)
  - Return to Classical liberal ideas: Hayek, Friedman, Mises.
  - Thatcher, Reagan, Southern Cone authoritarianism.
  - 'Washington policy Consensus' advocated by IMF, World Bank, in early 1990s.
  - Social Democratic variations (Clinton, Obama)
- Today: Resurgent mercantilism and Economic Nationalism.

Neo-classical Growth & Development Model

- The mainstream market-based growth and development model/narrative.
- Differences in per-capita incomes are due to differences in technology and K/L. Time and markets should lead to "convergence".
- Main barrier are 'bad policies' that distort markets and slow growth.
  Blame on rent-seeking bureaucrats and 'special interests.'
- Prominent economic historians worked withing this framework. History driven by swings in relative prices, population, resources (epidemics, expansion of frontiers and trade, etc). Institutions secondary and adaptive.
- Market-driven 'Neo-Liberal' reforms following debt-crises of 80s and Soviet collapse/transition of 90s. Liberalize trade, privatize and de-regulate business, open up capital markets, reduce the role of the state, etc.
- Academia typically more heterodox, but economic orthodoxy ascendant in policy circles.

Neoclassical Growth accounting and the Solow 'residual'

- Aggregate production function:

$$Y = A \cdot K^{\alpha} \cdot L^{1-\alpha}$$

  in logs:

$$\ln Y = \ln A + \alpha \ln K + (1-\alpha) \ln L$$

- Captured as an empirical regression:

$$\ln Y_t = b_0 + b_1 \cdot \ln K_t + b_2 \ln L_t + \epsilon_t$$

- The ϵ_t "residual" term could be interpreted as TFP A_t plus perhaps other factors (e.g. geography, human capital, etc).

$$\ln Y_{it} = b_0 + b_1 t + b_2 \cdot \ln K_{it} + b_3 \cdot \ln L_{it} + b_4 \cdot X_i t + \epsilon_{it}$$

- Solow found that factor growth accounted for only 13% of variation. Remaining 87% in the residual -- interpreted as TFP growth (technology).

New Growth Theory (1990s-2000s)

- Focus on increasing returns to scale (IRS)
  - Knowledge and technology spillovers
  - Trying to 'endogenize' (explain) TFP growth.
- Models imply constant or increasing returns to factor accumulation, rather than standard neo-classical diminishing returns to capital or human capital (e.g. productivity of new engineer higher where there are more engineers).
- Implies agglomeration and *divergence* of incomes.

But like the neo-classical growth models, these remain mechanical and abstract models, driven by the shape of technology. Institutions (markets, property rights protections) are *assumed* rather than explained.

What other factors account for differences in gdp per capita?

Cross country regressions popular in early 90s

$$\ln Y_{it} = b_0 + b_1 \cdot t + b2 \cdot \ln K_{it} + b3 \cdot \ln L_{it} + b_4 \cdot X_i t + \epsilon_{it}$$

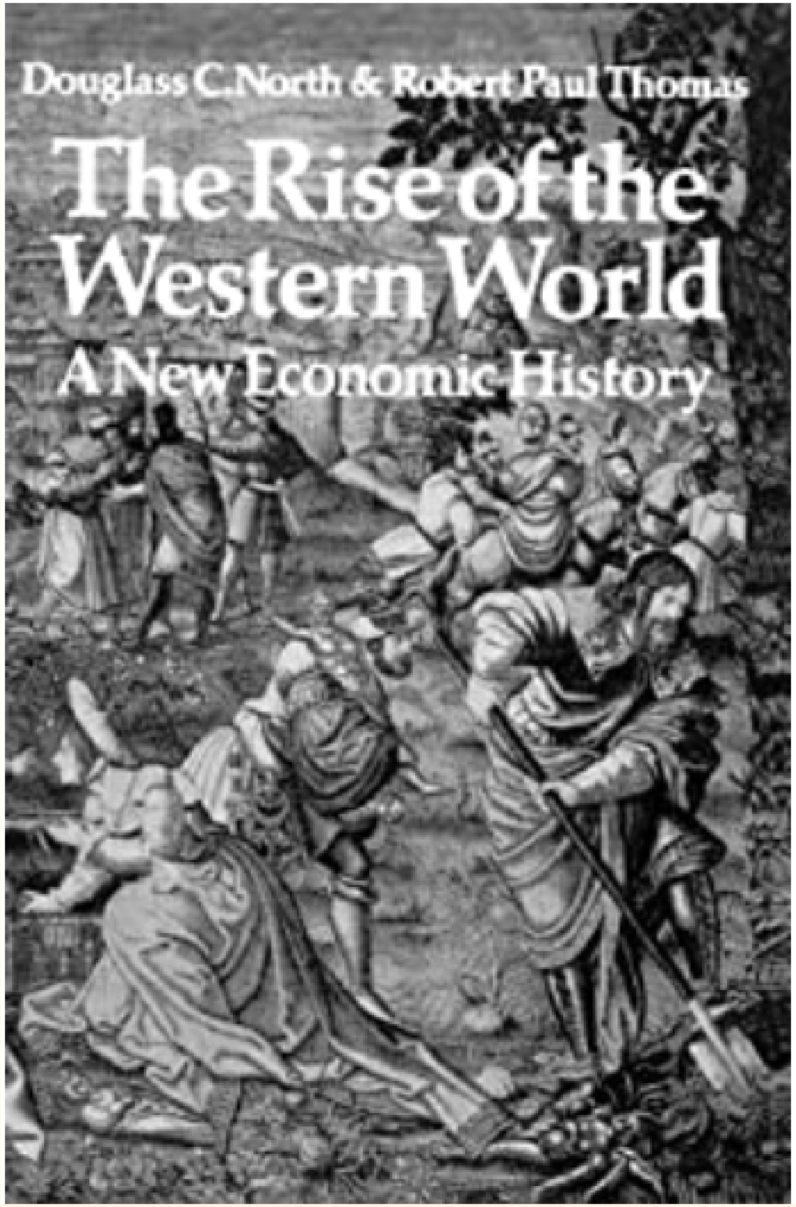
- Country panel data with countries i and year t
- X_{it} is a vector of other variables.
  - Human capital (Barro)
  - Geographic variables (Sachs)
  - Cultural variables (e.g. dominant religion).
  - Measures of institutions
    - Legal or colonial system (Barro), 'Rule of law', 'expropriation risk', etc.

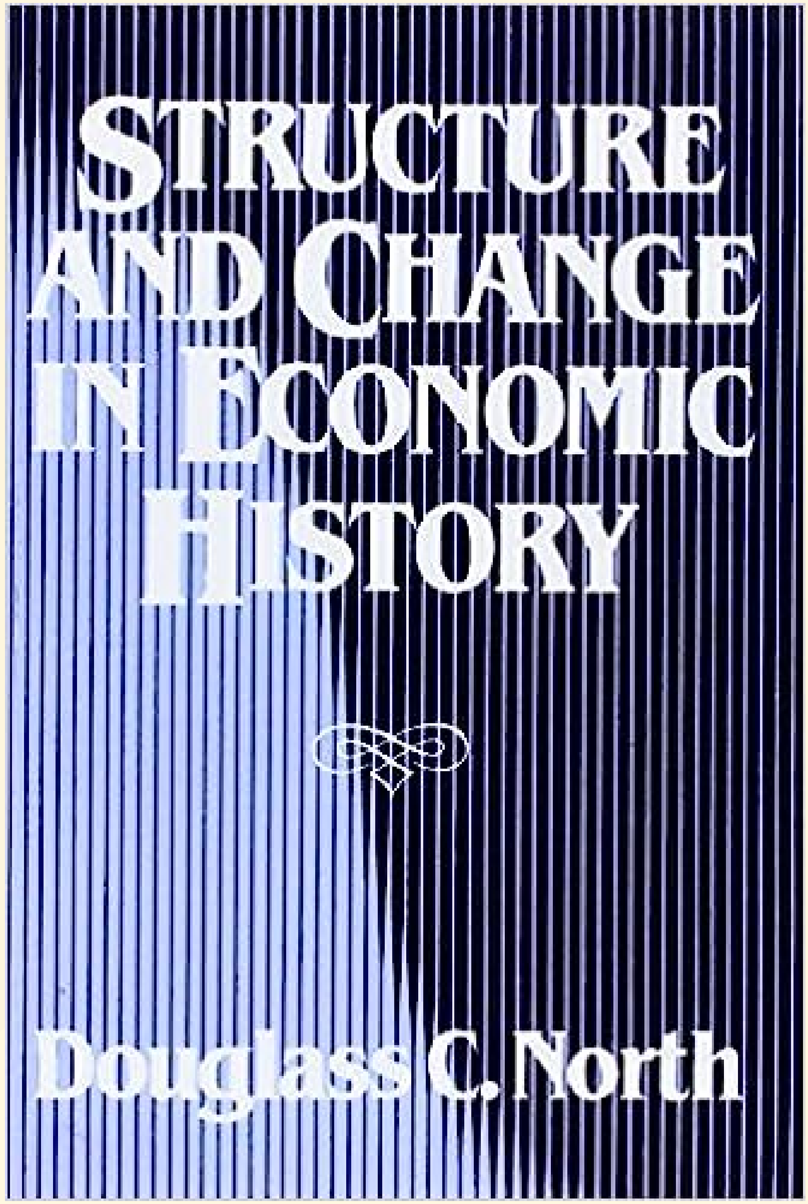
Cross country regressions

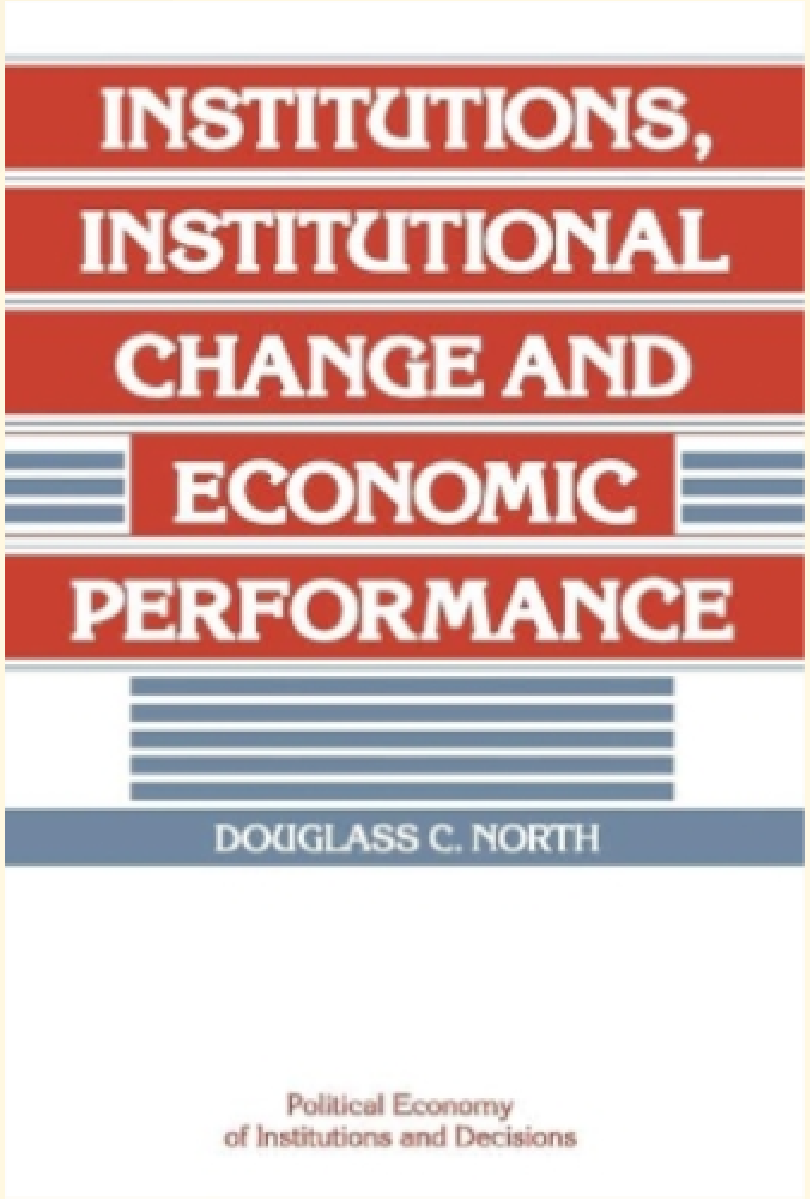
- Battle lines: Geography vs. Culture, vs. Institutions, etc.
- Many severe criticisms: Measurement issues, omitted unobservable variables, endogenous variables, etc.
- 'Credibility Revolution in Economics' made people very wary of cross-country regressions, unless has clear causal identification strategy (i.e. can convincingly argue that right hand-side variables are not endogenous).

Neo-institutional critiques

- **Ronald Coase:** What is a firm? Where does a firm stop and the market begin? Firms exist to minimize transactions costs. Economic performance is a function of the institutions that minimize transactions costs.
- **Douglass North:** capital accumulation and innovation are only proximate causes of growth. They are manifestations of growth. What are the deeper causes growth? Institutions, property rights, and the rule of law, shape incentives and the ability to accumulate capital and innovate.
- But how do institutions come about and change?
    - These authors, at least initially, tended to emphasize evolutionary adaptation. Institutions evolve over time to minimize transactions costs in a changing environment.


Douglass C.North & Robert Paul Thomas
The Rise of the Western World
A New Economic History


STRUCTURE AND CHANGE IN ECONOMIC HISTORY
Douglass C. North


INSTITUTIONS, INSTITUTIONAL CHANGE AND ECONOMIC PERFORMANCE
DOUGLASS C. NORTH
Political Economy of Institutions and Decisions

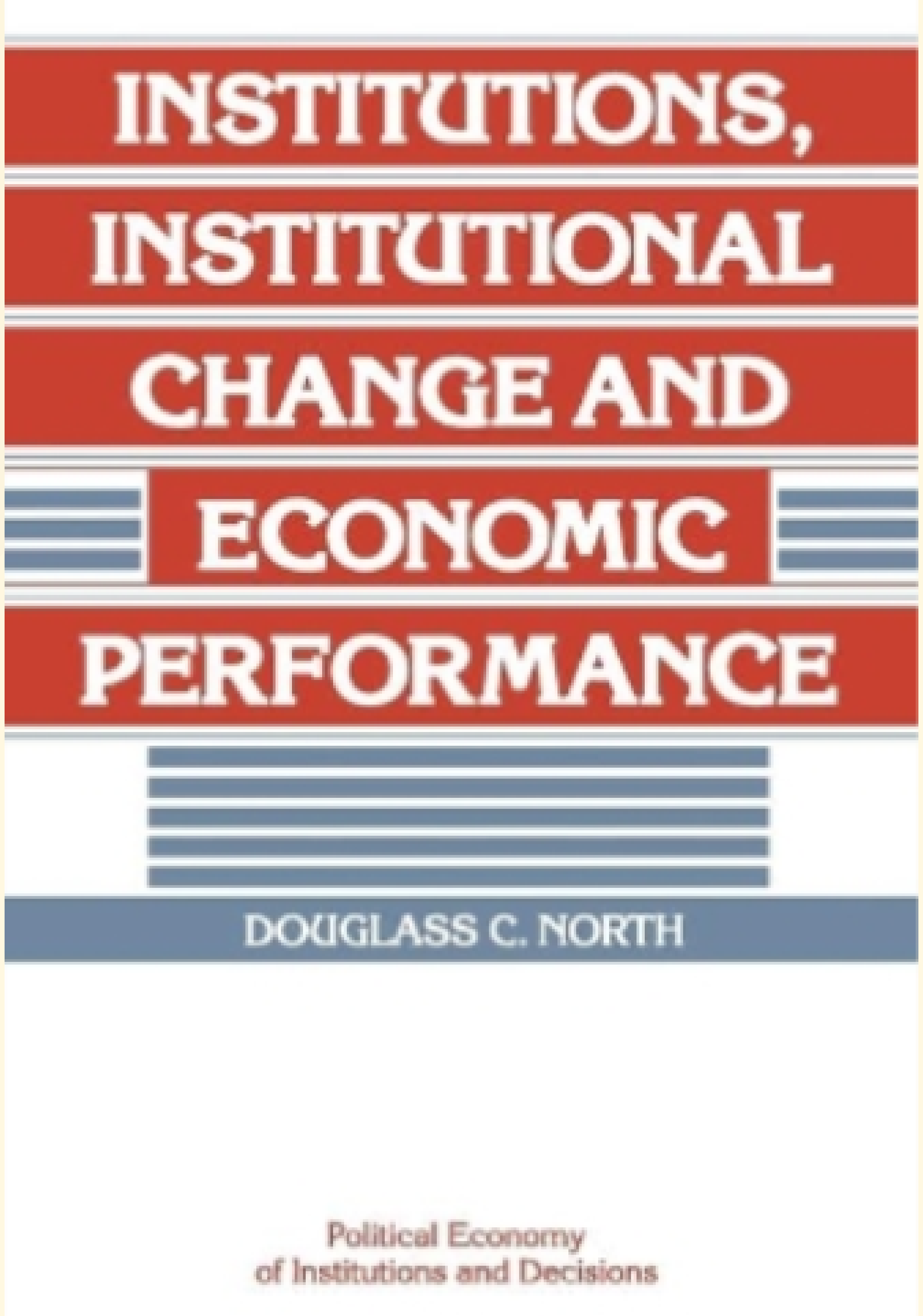
Neo-institutional economics

- **How do institutions evolve?**
  - **Douglas North** and **'Transaction Cost'** Economists (e.g. Coase).
    - Costs of enforcing contracts, monitoring, etc.
  - Property rights and institutions adapt to changing conditions, via Coasian bargains, evolutionary process.

(Demsetz, 1967). Davis and North (1971, p. 39) are explicit in the argument: "It is the possibility of profits that cannot be captured within the existing arrangemental structure that leads to the formation of new (or the mutation of old) institutional arrangements." In other words, it is argued that market forces tend to erode property rights institutions that are ill suited for responding to new economic opportunities. If the existing rights structure limits or blocks reaction to changes in relative prices or technology, the existence of unexploited potential gains will lead individuals to adopt more accommodating property rights.

The Later North

- In earlier work, North argued that Institutions tend to evolve to minimize transactions costs. Societies with more efficient institutions would grow faster, better institutions would spread.
- North came to elaborate his theory of institutional change to allow for the fact that institutions are shapedto the benefit of elites and the powerful and that this meant that inefficient or dysfunctional institutions could persist for a long time.



incentives to those described in the above paragraph, I will approximate the conditions in many Third World countries today as well as those that have characterized much of the world's economic history. The opportunities for political and economic entrepreneurs are still a mixed bag, but they overwhelmingly favor activities that promote redistributive rather than productive activity, that create monopolies rather than competitive conditions, and that restrict opportunities rather than expand them. They seldom induce investment in education that increases productivity. The organizations that develop in this institutional framework will become more efficient – but more efficient at making the society even more unproductive and the basic institutional structure even less conducive to productive activity. Such a path can persist because the transac-

In the historical growth process, there is a trade-off between economies of scale and specialization on the one hand and transaction costs on the other. In a small, closed, face-to-face peasant community, for example, transaction costs are low, but the production costs are high, because specialization and division of labour are severely limited by the extent of market defined by the personalized exchange process of the small community. In a large-scale complex economy, as the network of interdependence widens, the impersonal exchange process gives considerable scope for all kinds of opportunistic behaviour (cheating, shirking, moral hazard), and the costs of transacting can be high. In Western societies over time complex institutional structures have been devised (elaborately defined and effectively enforced property rights, formal contracts and guarantees, corporate hierarchy, vertical integration, limited liability, bankruptcy laws, and so on) to constrain the participants, to reduce the uncertainty of social interaction —

'Modern Political Economy' (late 1990s-present)

- Renewed interest in economic history and political economy.
- Engerman and Sokoloff (1997) "Factor Endowments, Inequality, and Paths of Development in the New World."
- Acemoglu and Robinson (2000) "Colonial Origins of Comparative Development."
- Many other papers cited in KR chapter.
- Build on earlier neo-institutional economists
  - more theoretically elaborate and empirical.
  - Natural experiments and historical case studies over regressions.

History Lessons: Institutions, Factor Endowments, and Paths of Development in the New World

Sokoloff & Engerman (2000)

- **Initial Puzzle**: Countries like the U.S. and Canada ultimately became more economically successful than Latin America, but this wasn't obvious at the start
  - In 1700: Mexico = British colonies (future U.S.) in per capita income
  - Caribbean colonies (Barbados, Cuba) were 50-67% wealthier than future U.S.
  - Haiti was possibly the world's richest society per capita in 1790
- **Traditional Explanation**: British institutions vs. Spanish/Portuguese institutions
  - But this doesn't explain variations within the same colonial heritage
  - Many British colonies (Caribbean) didn't succeed like U.S./Canada

Factor Endowments and Inequality. Three paths:

1. **Sugar/Slave Economies** (Caribbean, Brazil)
    - Large plantations, scale economies, extreme inequality
    - Elite control of wealth, human capital, political power
2. **Spanish America** (Mexico, Peru)
    - Mineral resources + large native populations
    - Land grants, tribute systems, concentrated wealth
    - Restrictive immigration policies preserved elite status
3. **North American Mainland** (U.S., Canada)
    - No large native populations for labor
    - Climate unsuited for plantation agriculture
    - More homogeneous population, less inequality
    - Broad distribution of land, wealth, human capital

Institutions and Persistence of Inequality.

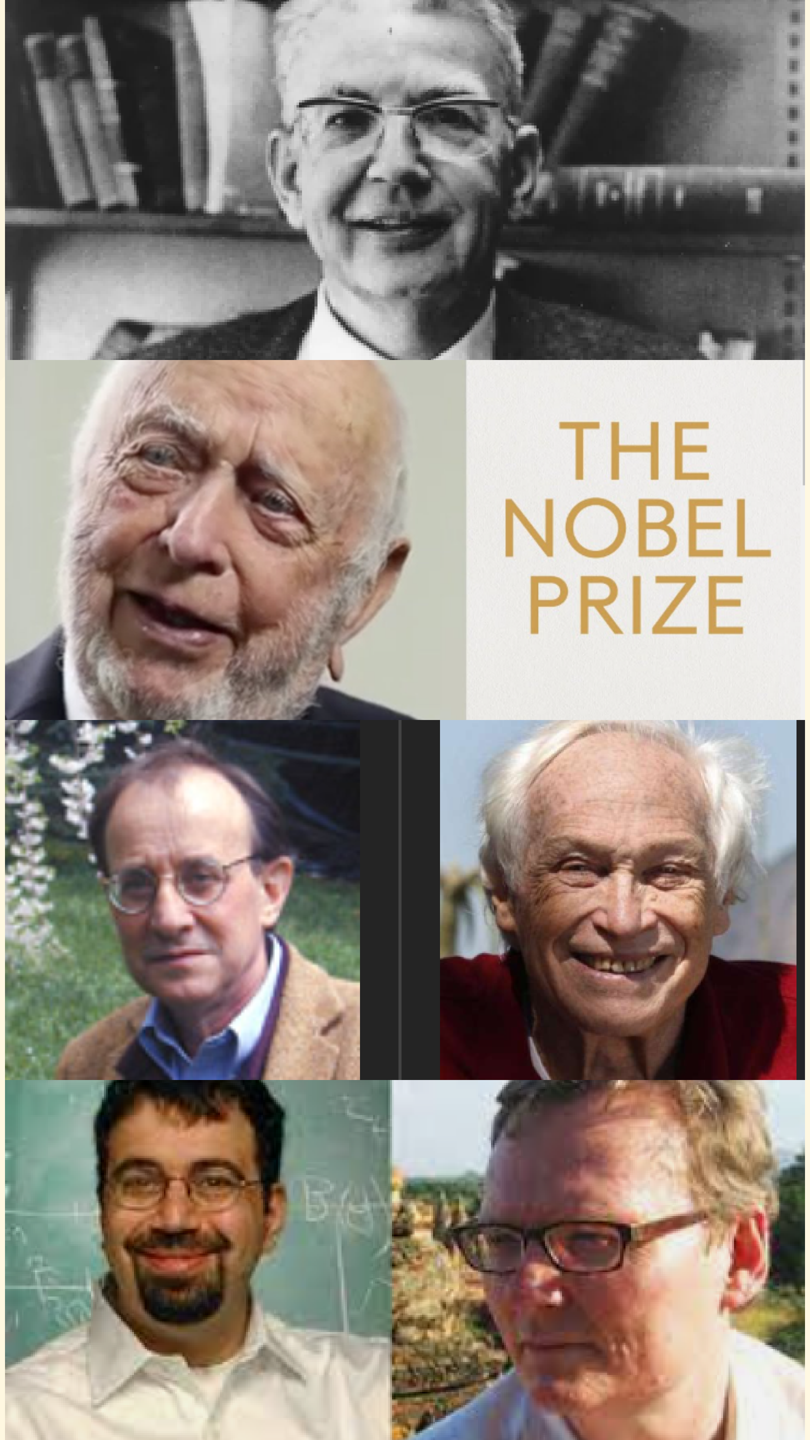
- **Political Participation**: U.S./Canada led in extending voting rights
  - Latin America maintained wealth/literacy requirements longer
  - Lower voting rates persisted through 1940
- **Public Education**: U.S./Canada invested earlier and more extensively
  - Strong local support for schools from settlement
  - Latin America delayed public education investments
  - Literacy rates followed the same pattern
- Institution development perpetuated initial inequality patterns
  - Elites created rules that protected their advantages
  - Inequality persisted through policies on land, credit, voting, education

Neo-institutional economists

- **Ronald Coase**, Nobel 1991
  - 30s-80s
- **Douglas North**, Nobel 2011
  - 70s - 90s
- **Kenneth Sokoloff and Stanley Engerman**
  - 90s
- **Daron Acemoglu and James A. Robinson**
  - late 90s - present

Building on older traditions and other contemporaries.

- e.g. Asymmetric Information revolution (Stiglitz, Holmstrom, etc) who provide a more micro-founded theory of contracts.




ACEMOGLU, JOHNSON, ROBINSON
WIN NOBEL PRIZE IN ECONOMICS
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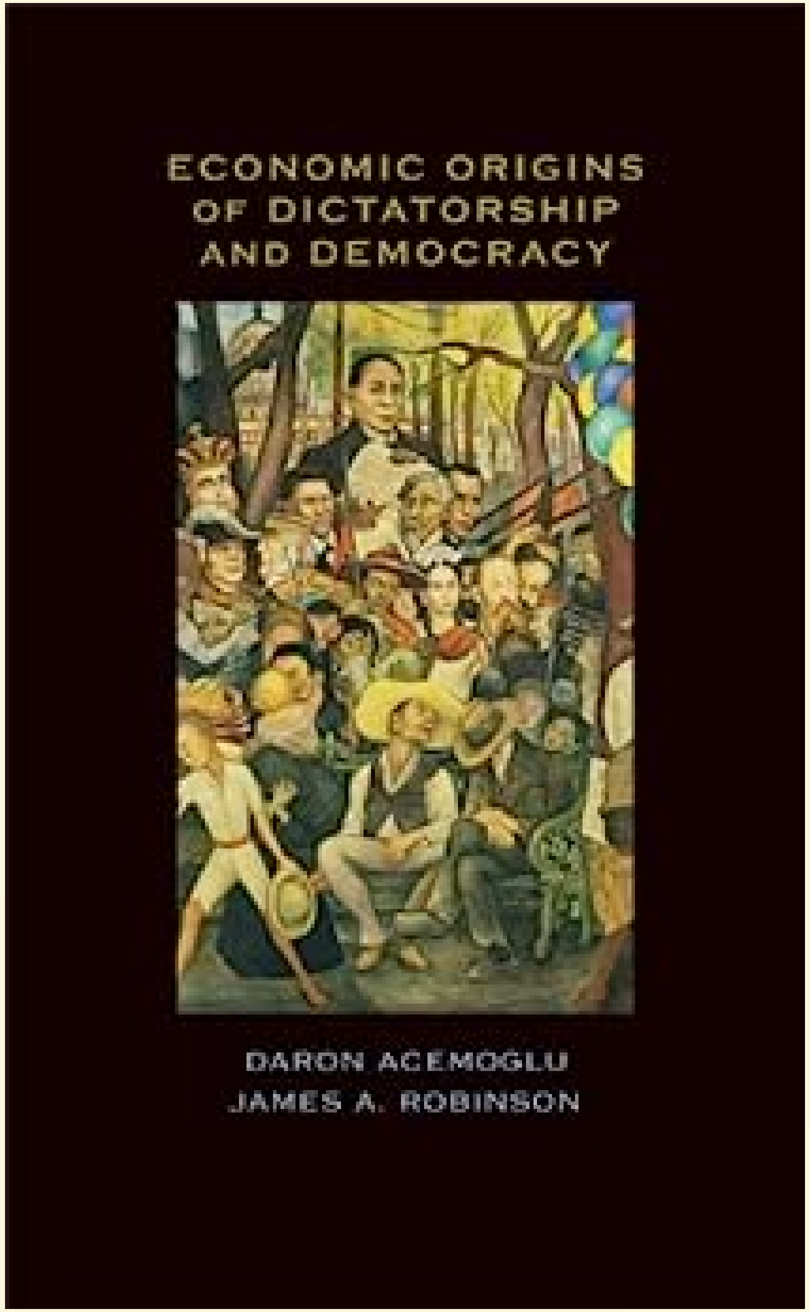
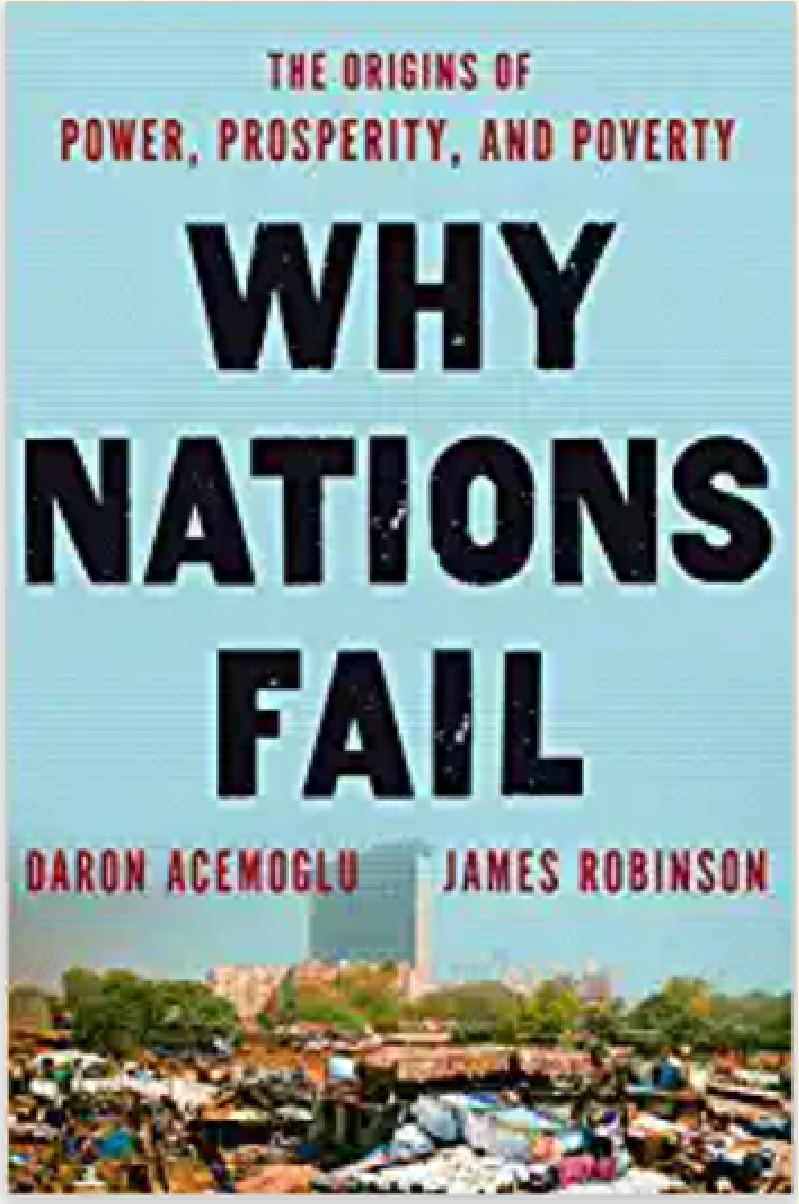

ECONOMIC ORIGINS
OF DICTATORSHIP
AND DEMOCRACY
DARON ACEMOGLU
JAMES A. ROBINSON


THE ORIGINS OF
POWER, PROSPERITY, AND POVERTY
WHY
NATIONS
FAIL
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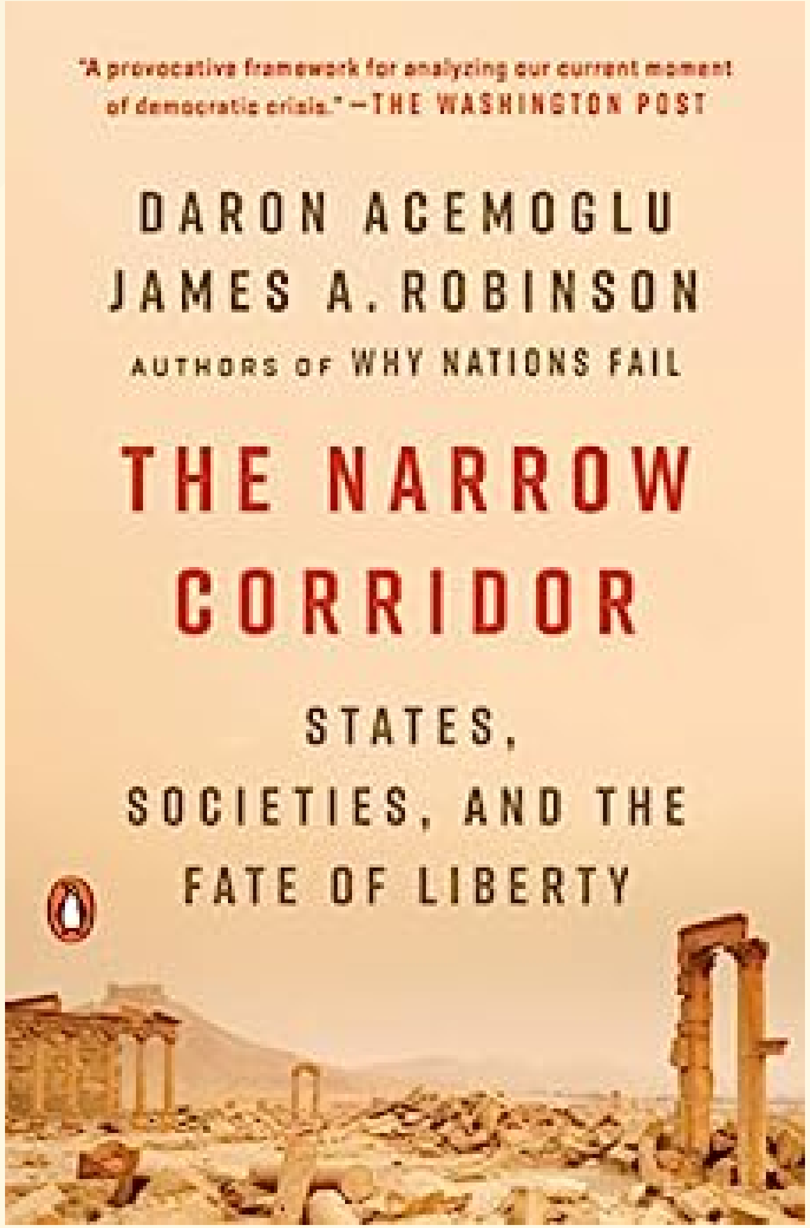
"A provocative framework for analyzing our current moment of democratic crisis." —THE WASHINGTON POST
DARON ACEMOGLU
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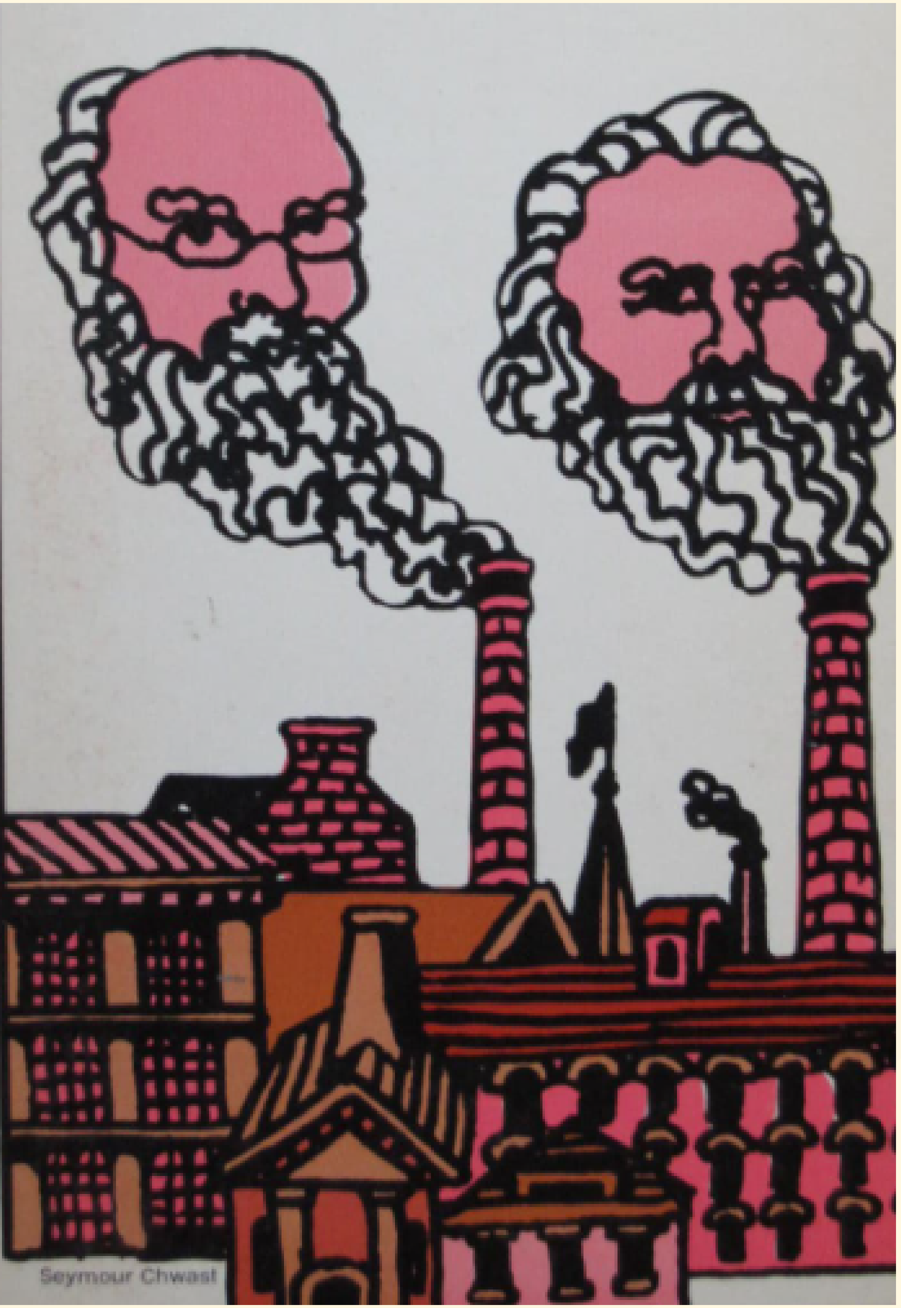
AUTHORS OF WHY NATIONS FAIL
THE NARROW
CORRIDOR
STATES,
SOCIETIES, AND THE
FATE OF LIBERTY



Marx on Institutions

- **Social Relations of Production** -- Institutions
- **Material Productive Forces** -- physical resources and technology
- **Mode of Production** -- e.g. Feudalism, Capitalism

As productive forces develop, new classes may see possibilities for new ways of organizing production to their benefit. Existing relations of production -- property rights and institutions -- may become obstacles and are challenged and replaced. There will be winners and losers as institutions are changed.

Social relations shaped/transformed by **class conflict**.

Marx in Preface to a Contribution to the Critique of Political Economy (1860)

In the social production of their life men enter into definite relations that are indispensable and independent of their will, relations of production that correspond to a definite stage of development of their material productive forces. The sum total of these relations constitute the economic structure of society, the real basis on which arises a legal and political superstructure. . . . At a certain stage of their development, the material productive forces of society enter into contradiction with the existing relations of production, or -- what is but a legal expression for the same thing -- with the property relations within which they have been at work hitherto. From forms of development of the productive forces these relations turn into their fetters. Then begins an epoch of social revolution.

Marxian vs. Marxist

- Marx and Marxian analysis vs. Marxist revolutionary politics and regimes.
- What do neo-institutionalists, and Marxians have in commmon?
  - Materialist conception of history
  - Institutions matter
  - Institutions are shaped by evolutionary proceseses and conflict.
- Many of the most interesting institutional analyses and debates in economic history are debates amongst Marxian or between Marxian and non-Marxian historians.
  - What led to the transition to capitalism in Europe?
    e.g. Dobb-Sweezy and Brenner debates.
  - political Marxists vs neo-Smithian... many flavors.

(though a lot of Marxian analysis can be tiresome, tedious, heavy handed or just plain bad ... e.g. endless debates about taxonomies, single-minded focus on exploitative relations, Soviet propaganda, etc).

Economic Institutions

- Security & flexibility of property rights
- Free entry (to ensure competitive markets)
- Ability to form business organizations
- Ability to quit and move jobs

Political Institutions

- Political rights
- Constraints on the executive
- Democracy
- Free media
- Independent Judiciary

Property Rights

- Social institutions that define and delimit the range of privileges granted to individuals to specific assets, such as parcels of land or water.
- Private ownership *may* involve a variety of rights:
  - right to appropriate stream of rents from us e and investments in the resource.
  - right to exclude others from access
  - right to rent, sell or otherwise trnsfer.
- PRs may be based on
  - formal arrangements (constitutional provisions, statures, judicial decisions).
  - informal conventions and customs.
  - enforced privately and/or with state/community support.

PRs shape incentives

- By allocating decision-making authority
  - shape incentives to invest and improve resources
  - also define distribution of wealth and power in society

PRs enforcement

- PRs may be created/enforced both privately, by community and/or state.
- Insecure PRs
  - often overlapping, contested.
  - limited (e.g. limitations on use, leasing, sale)

North and Thomas (1973)

France and Spain:

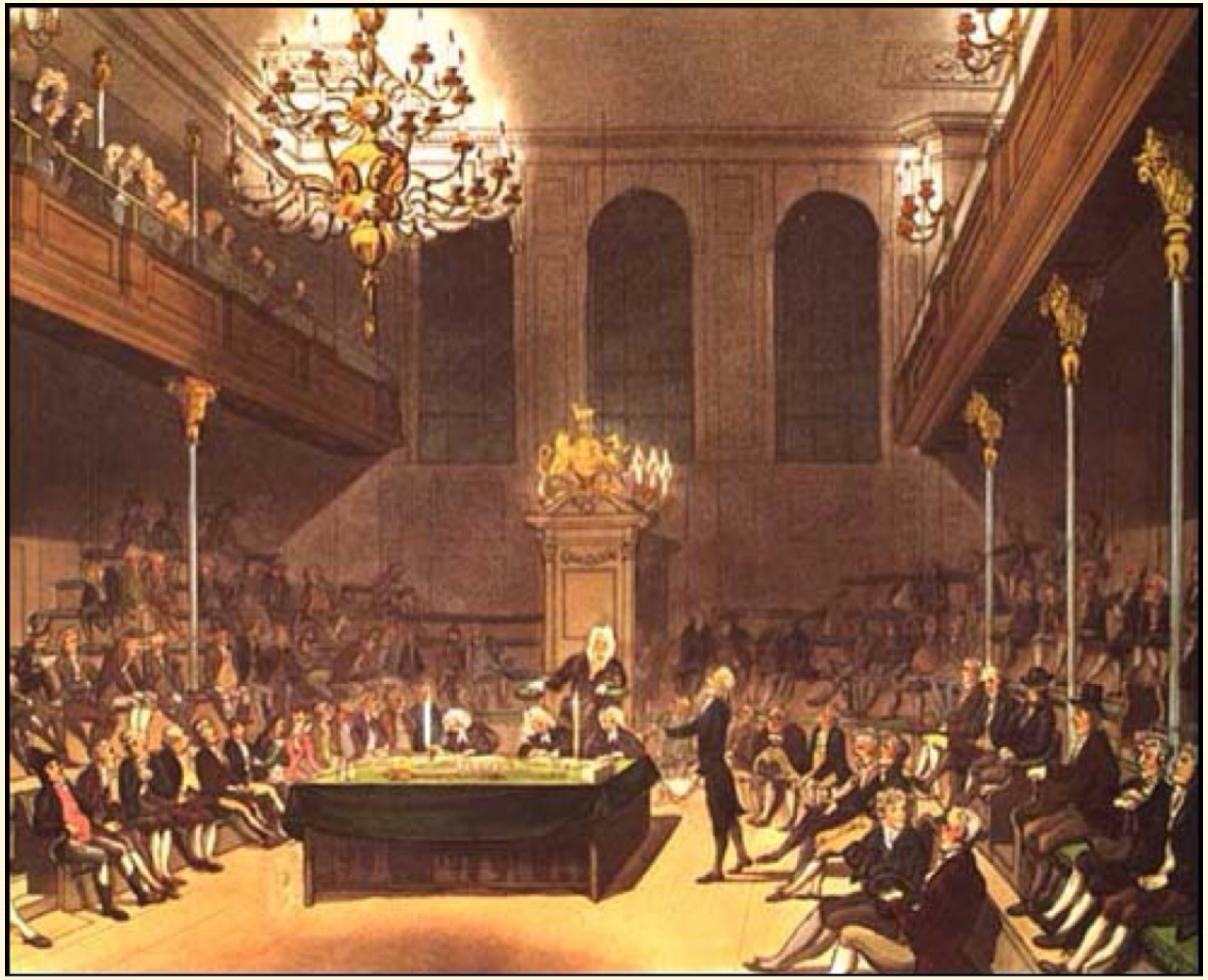
- absolutist monarchies, relied on granting and taxing local monopoly privileges.
- feared adjusting property would undermine their political and economic base, even if such changes might offer broader gains.

England and the Netherlands:

- commercial interests were stronger (particularly after 1688 "Glorious Revolution").
- Property rights tended to be adopted that allowed for more fluid resource movements and respond to market opportunities.
- Enclosures and market for private land.

> "the fact that growth has been more exceptional than stagnation or decline suggests that efficient property rights are unusual in history (North, 1981, p6)"

The Glorious Revolution of 1688



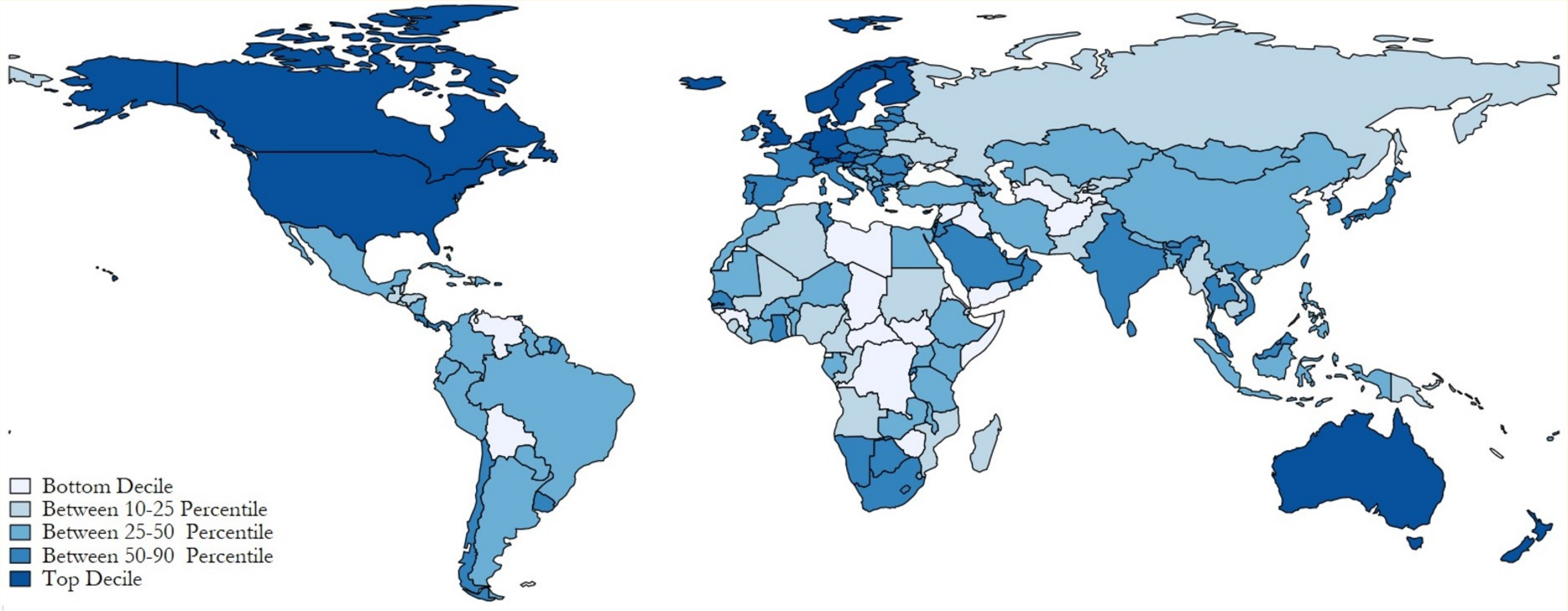
The Glorious Revolution of 1688

- King James II of England was a Catholic and a proponent of absolute monarchy and the Divine Right of Kings.
- Protestant William of Orange invades, overthrows (his father-in-law) James II in 1688, and is crowned.
- English Bill of Rights, Toleration Act, Mutiny Act etc. **credibly committed** monarchs to accept constraints. Parliamentary oversight, authority to impose and collect taxes, impeach judges, etc.
- It has been argued this improved:
    - Fiscal credibility (falling risk premia)
    - Improved security of Property Rights, leading to investment and more efficient organization (North and Weingast, 1989).
- A "bourgeois revolution": merchants and traders expanded power over landlords.

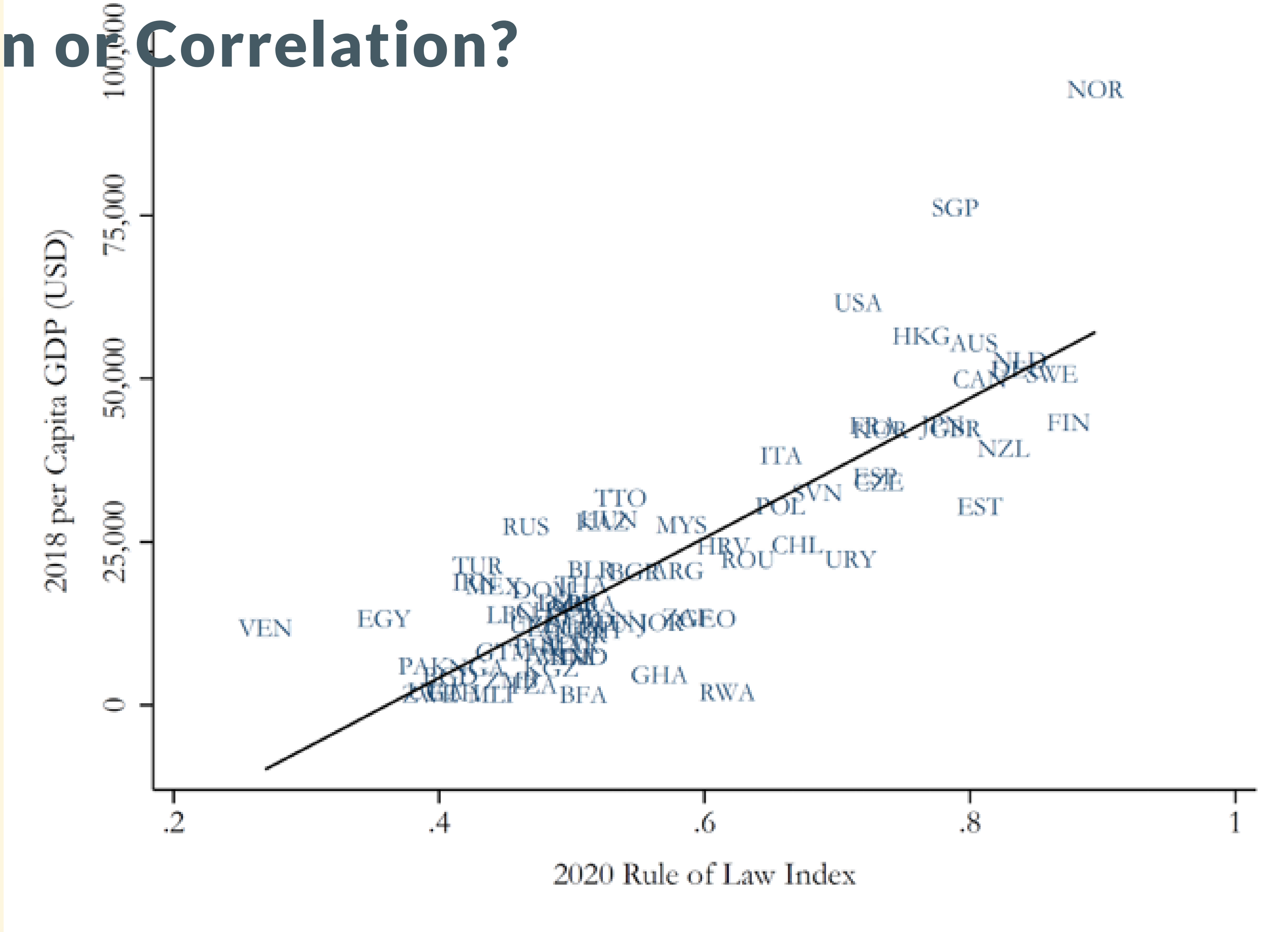
Critiques

- Is this all just Whig history?
- In many ways reforms strengthened the power of the centralized state to redefine PRs
- e.g. Parliamentary enclosure acts often led to more concentrated land ownership, and less secure PRs for the poor.
- Oliver Cromwell, victor of earlier English Civil War (1642-1651). Professionalized army (removed Nobility from leadership roles). Also led colonization of Ireland and wholesale exropriation of Irish Lands.
- So perhaps less about PRs protections in general, and more about strengthened centralized State to advance the commercial interests of rising new class at home and abroad?

"Rule of Law" index 2017



Causation or Correlation?



Natural Experiments

- North and South Korea provide a “natural experiment” for importance of institutions.
- Prior to Korean War, North and South were highly comparable (North was more ndustrial!).
- Today South Korea is a rich country. North Korea is mired in poverty. 20X
- Given geography and culture are similar above and below the 38th parallel, this suggests institutions can make a large difference

Dissolution of the Monasteries

- Heldring, Robinson, Vollmer (2021) "The Long-Run Effects of the Dissolution of the English Monasteries," *Quarterly Journal of Economics*
- Starting 1535-1540: Henry VIII dissolved the monasteries.
- Created a large supply of land, unencumbered by feudal land tenure.
- Contributed to the "Rise of the gentry."
  - New generation of successful landlords, distinct from hereditary nobility.
- Authors find that parishes that had more dissolution in long run had higher rise in agricultural yields, greater non-ag pop, higher industrialization.

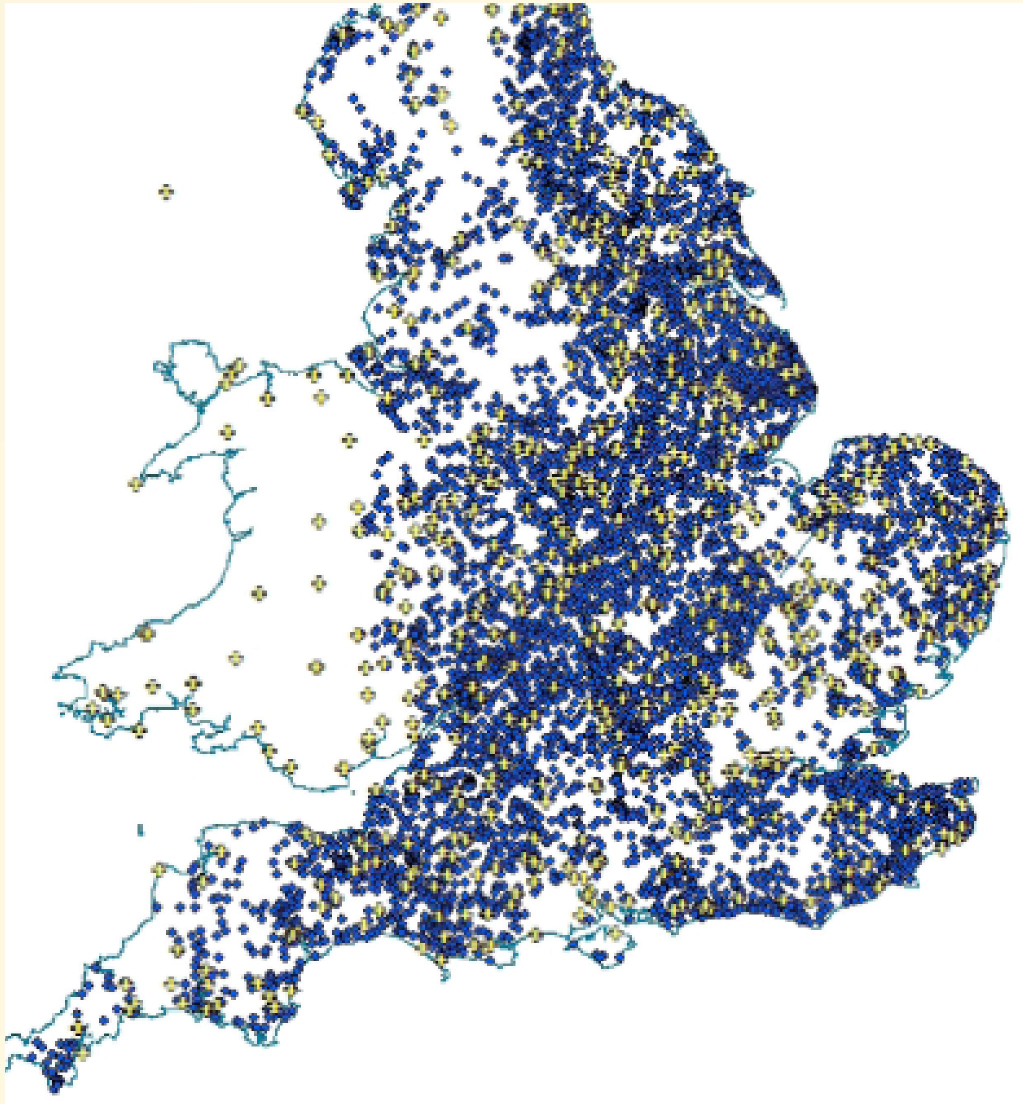


FIGURE III

Spatial Distribution of Monastic Property

A cross indicates a location of a monastery around 1535. These we plot for ngland and Wales, as well as a single monastery on the Isle of Man. Dots indicate : least one monastic manor in a parish in 1535. These we plot for England only.

Napoleonic Invasions

- French Revolution 1789-1799.
- Republic. Abolishes feudalism, Church's right to collect tithes.
- Strong new Army, 'total war' strategy.
    - From defense of the Revolution to conquest of Europe.
- 1804 Napoleonic Codes: Civil law code to replace complex patchwork. Codifies PRs, makes it easier to buy/sell/inherit.

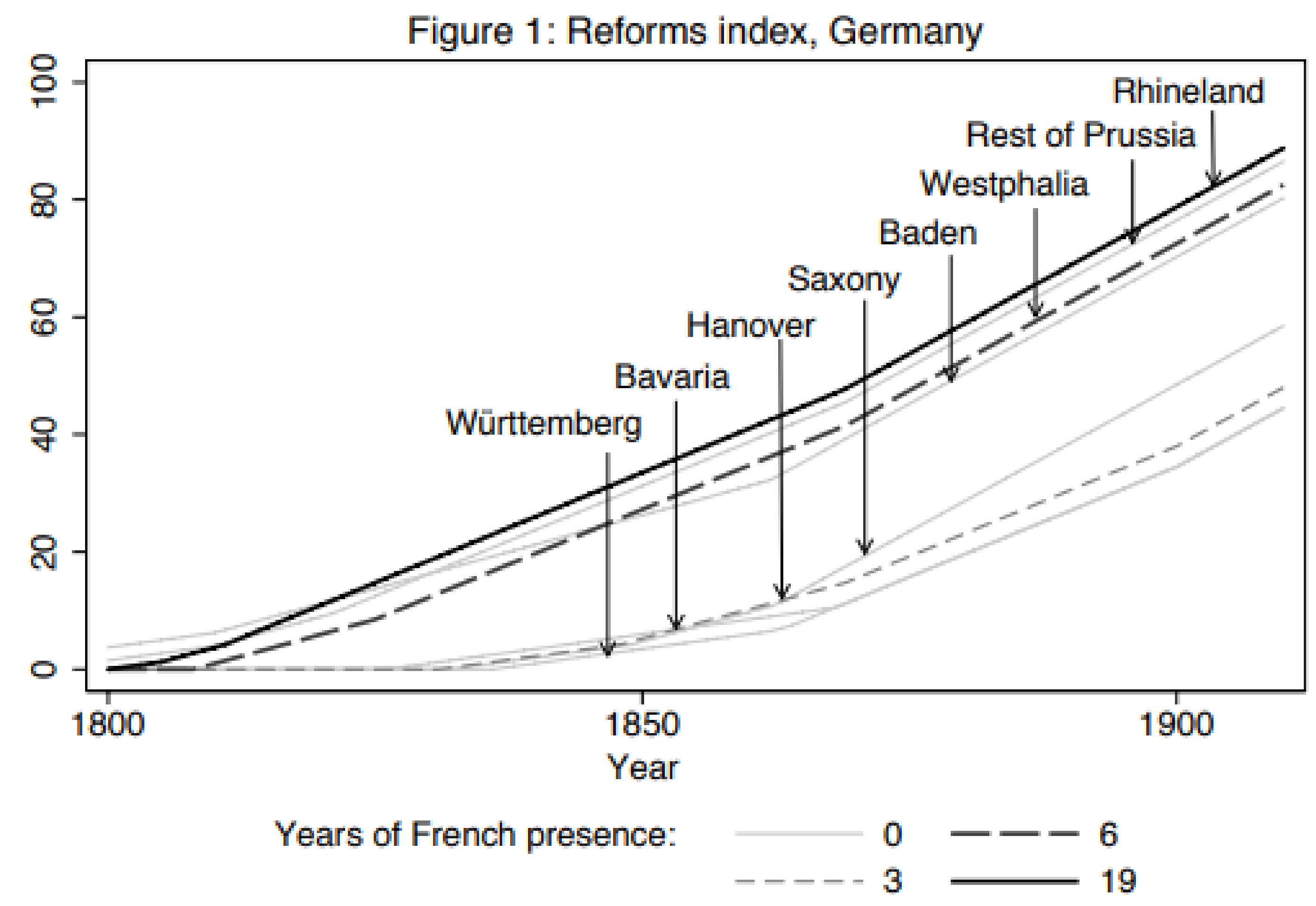
The Consequences of Radical Reform: The French Revolution[†]

By Daron Acemoglu, Davide Cantoni, Simon Johnson, and James A. Robinson[*]

In this article we exploit the variation in institutional reform created by the French Revolution in Europe, in particular within Germany, to investigate the consequences of radical, externally imposed reforms on subsequent economic growth. After 1792 French armies occupied and reformed the institutions of many European countries. The set of reforms the French imposed in the territories that they conquered were extensive and radical; they included the imposition of the civil legal code, the abolition of guilds and the remnants of feudalism, the introduction of equality before the law, and the undermining of aristocratic privileges. The long-run implications of these reforms are of interest both for historical reasons and also because they are related to current debates on institutional change. For example, the view that "designed" and externally imposed institutions are unlikely to foster economic progress would suggest that the French Revolution should have significant negative effects.[1] In contrast, the view that oligarchies, entry barriers, and restrictions on trade in labor and other markets were the main impediment to growth in Europe at the turn of the nineteenth century would suggest that the revolutionary reforms should have unleashed more rapid economic growth in affected areas (Mancur Olson 1982; Acemoglu 2008).[2]

Empirical strategy

- Difference-in-difference: German regions had different exposure to French presence and reforms.



Possible Impacts:

- Negative: disruption of occupation, mal-adapted institutions imposed from above.
- Positive: new institutions more conducive to growth.

Their empirical conclusion:

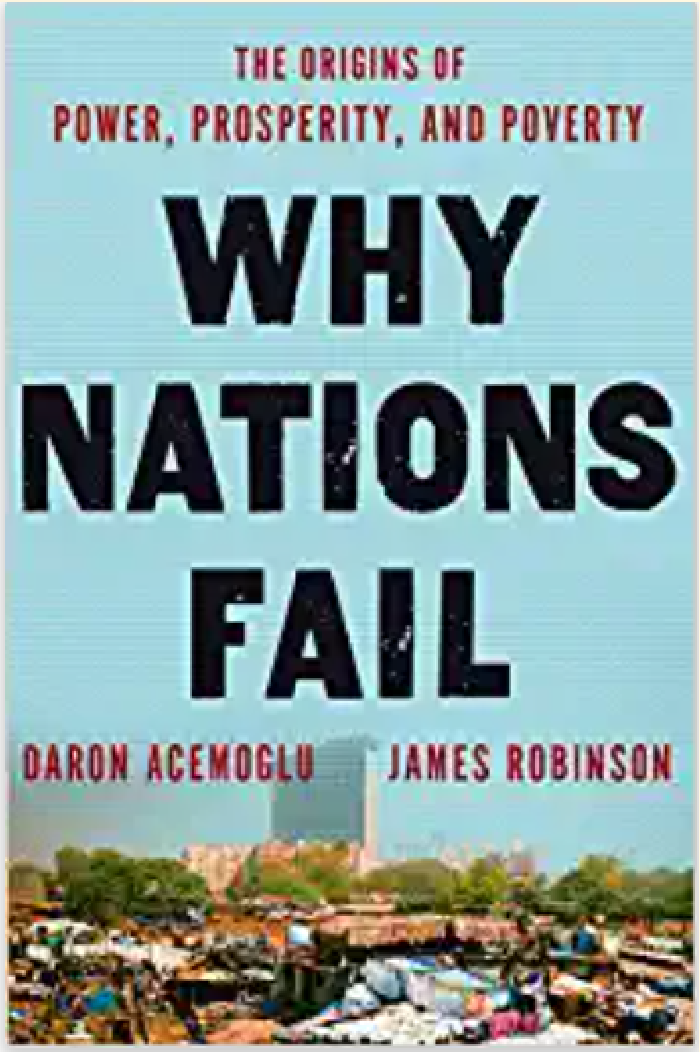
less rapid development. On the contrary, all of our evidence points to more rapid economic growth as proxied by urbanization in areas that underwent the radical institutional reforms brought by the French Revolution, especially after 1850. We also presented additional evidence suggesting that the primary channel of influence of French occupation was likely to have been the institutional reforms of the Revolution. These findings are interesting not only because they provide a historical

and

Bang" style reforms can never be successful. On the contrary, the evidence supports our hypothesis that the institutions of the *ancien régime*, in particular feudal land and labor relations, urban oligarchies and guilds, and lack of equality before the law, impeded prosperity, and that the radical institutional reforms that removed these barriers paved the way for industrialization and economic growth.

Inclusive vs. Extractive Institutions

- key feature of political and economic institutions: how broadly power is distributed.
- Acemoglu and Robinson (2012) distinguish between **inclusive** and **extractive** political and economic institutions.
- North, Wallis, and Weingast (2009) distinguish between closed-access orders (natural states) and open access orders.



Political Institutions during the Commercial Revolution

- Fundamental political institutions: those that govern the selection of who rules.
- Today one of the most important distinctions is between democracy and autocracy.
- Democracy emerged in the ancient Greek city-states.
- But democracy was absent for most of medieval and early modern European history.
- Two important developments that DID occur between 1000-1300:
  - The rise of independent city-states
  - The rise of parliaments

Political Institutions: City States

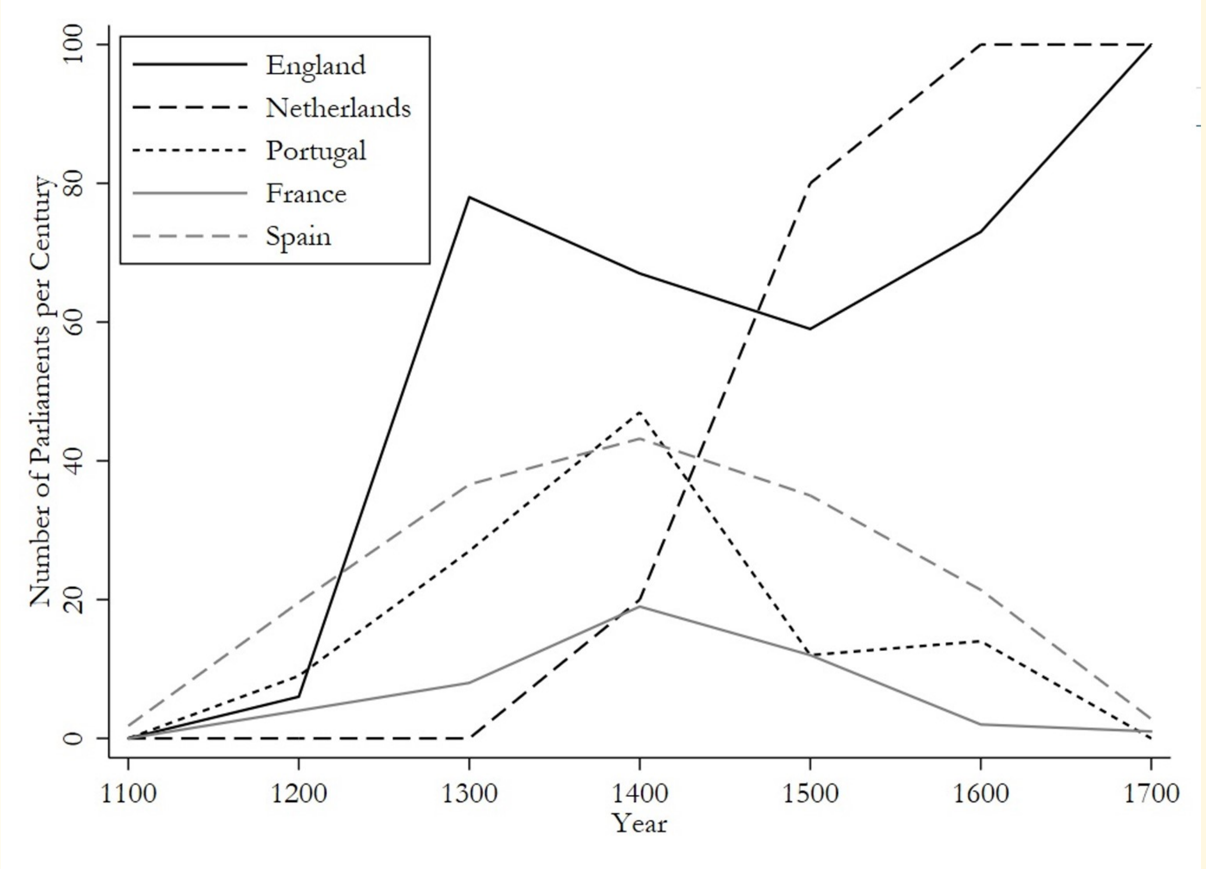
- Independent cities emerged in Italy, the Low Countries, and Germany after c. 1000 CE.
- These cities were self-governing and often oligarchic.
- They were governed in the interest of the mercantile elite.
- As such they often passed laws and established institutions favorable to trade.

Political Institutions: Parliaments

- England, Spain, and France were governed by territorial monarchies.
- Kings in these territories called councils of their leading nobles in order to consult them.
- Over time these councils became more formal.
- By 1240s in England, they had acquired the name Parliament. Elsewhere in Europe, they were called cortes, estates, or parlements.
- Forums where the king could ask for taxes from the “political nation”.
- English “Model Parliament” of 1295 established the principle that the towns would be represented.

Rise and Fall of Parliaments

- Number of parliaments per century, 1100-1700.

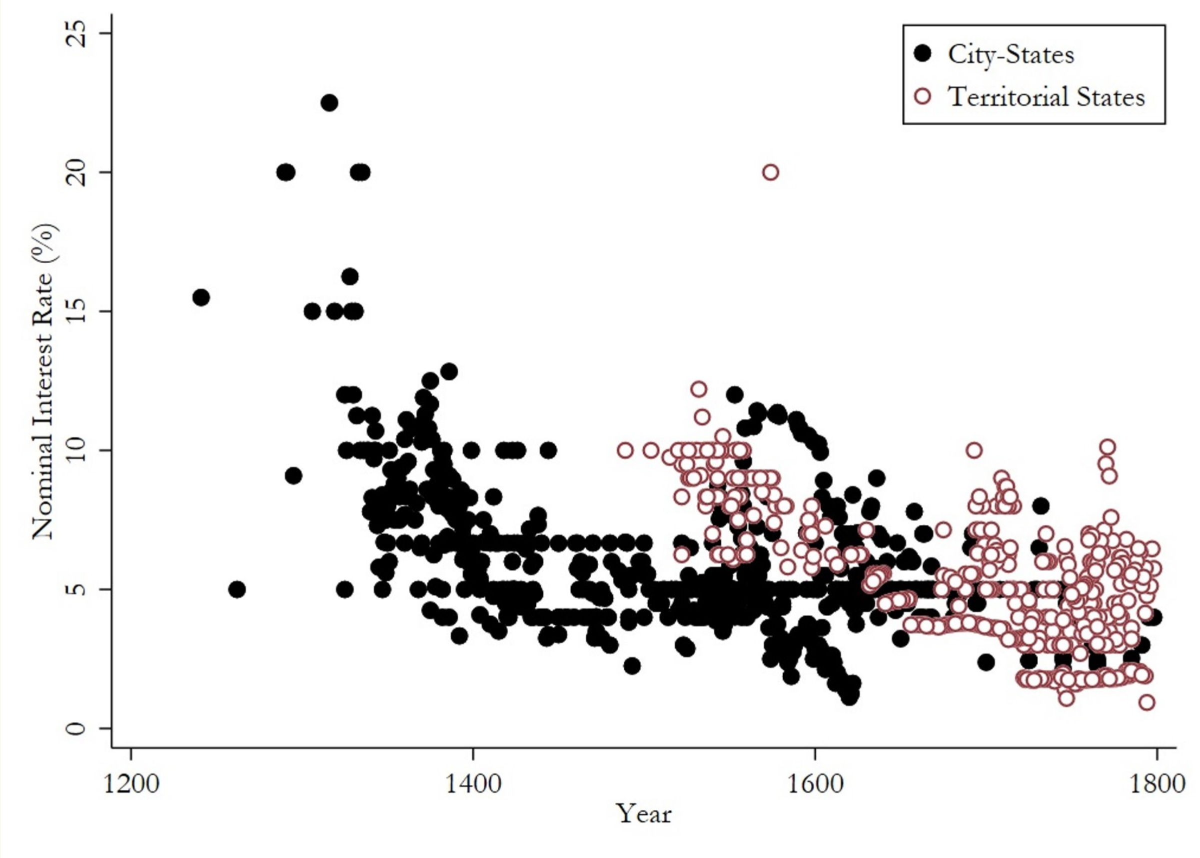


Rise and Fall of Parliaments

- Tax Revenue per capita, 1100-1700.

Rise and Fall of Parliaments

- Interest rates in city states and territorial states, 1200-1800.
- Representative institutions mattered for the cost of capital in medieval and early modern Europe.
- Kings paid high interest rates on their loans due to the uncertainty that they would repay.
- City states and (later) parliamentary regimes could borrow at lower rates.



AJR 2001

The Colonial Origins of Comparative Development: An Empirical Investigation

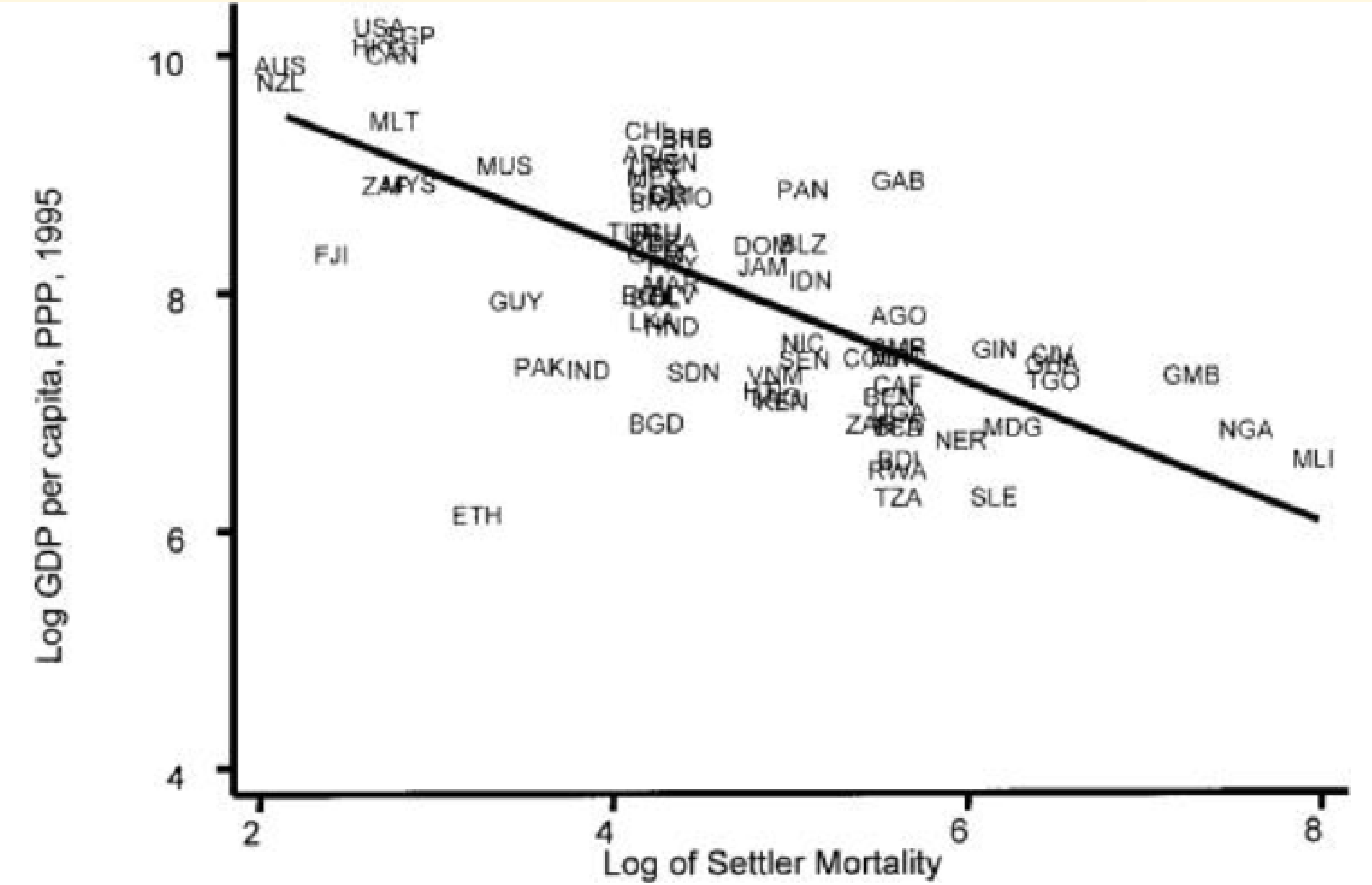
By Daron Acemoglu, Simon Johnson, and James A. Robinson*

We exploit differences in European mortality rates to estimate the effect of institutions on economic performance. Europeans adopted very different colonization policies in different colonies, with different associated institutions. In places where Europeans faced high mortality rates, they could not settle and were more likely to set up extractive institutions. These institutions persisted to the present. Exploiting differences in European mortality rates as an instrument for current institutions, we estimate large effects of institutions on income per capita. Once the effect of institutions is controlled for, countries in Africa or those closer to the equator do not have lower incomes. (*JEL* O11, P16, P51)

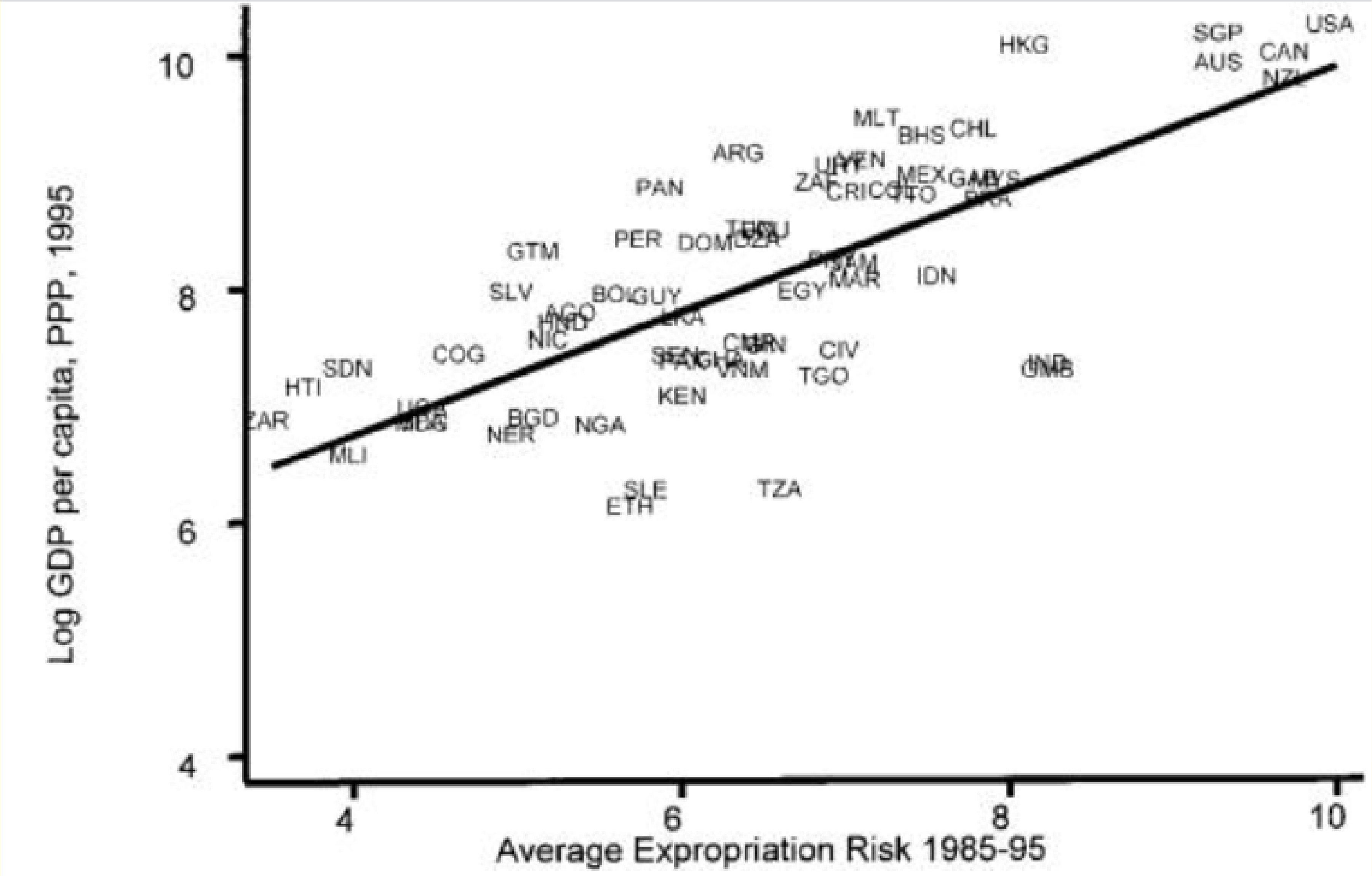
(potential) settler mortality $\Rightarrow$ settlements

$\Rightarrow$ early institutions $\Rightarrow$ current institutions

$\Rightarrow$ current performance.



Log GDP per capita, PPP, 1995
Log of Settler Mortality
10
8
6
4
2
4
6
8
AUS
NZL
USA
CAN
MLT
MUS
FJI
GUY
PAKIND
ETH
BGD
SDN
PAN
GAB
JAM
IDN
AGO
NIC
SEN
VNM
CAF
GIN
TGO
GMB
NER
MDG
NGA
MLI
RWA
TZA
SLE


Log GDP per capita, PPP, 1995
Average Expropriation Risk 1985-95
10
8
6
4
4
6
8
10
USA
SGP
AUS
CAN
HKG
MLT
BHS
CHL
ARG
PAN
PER
GTM
SLV
IDN
EGY
CIV
TGO
KEN
NGA
TZA
SDN
HTI
COG
MLI
NIC

The Peruvian Mita

- The Spanish Crown imposed a forced labour tax (corvee) on the conquered Inca Empire to man silver and mercury mines.
- [See online Slides]

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THE PERSISTENT EFFECTS OF PERU'S MINING *MITA*

BY MELISSA DELL[1]

This study utilizes regression discontinuity to examine the long-run impacts of the *mita*, an extensive forced mining labor system in effect in Peru and Bolivia between 1573 and 1812. Results indicate that a *mita* effect lowers household consumption by around 25% and increases the prevalence of stunted growth in children by around 6 percentage points in subjected districts today. Using data from the Spanish Empire and Peruvian Republic to trace channels of institutional persistence, I show that the *mita*'s influence has persisted through its impacts on land tenure and public goods provision. *Mita* districts historically had fewer large landowners and lower educational attainment. Today, they are less integrated into road networks and their residents are substantially more likely to be subsistence farmers.

KEYWORDS: Forced labor, land tenure, public goods.